

nonaccredited investors, was only put in place in May 2016.¹⁴ Much of this delay had to do with the need for the SEC to be involved and adopt “final rules to permit companies to offer and sell securities through crowdfunding.”¹⁵ Some of the policies put in place with Title III included restrictions on the length of fundraising efforts, the amount that an investor could invest, and that investments must take place within an SEC-regulated intermediary, either through a broker-dealer or a funding portal.¹⁶

It’s expected that even with these restrictions, investors will have more opportunities to gain equity-based compensation for investments in new businesses, including cryptoasset-based investments. The barn door of alternative financing methods for startups is wide open, and those involved with cryptoasset-based projects have already begun using their technologies to find ways to raise capital.

THE DIFFERENCE BETWEEN A CRYPTOASSET AND A STARTUP

Before we dive into the specifics of how a cryptoasset offering is carried out, the innovative investor needs to understand that the model of crowdfunding cryptoassets is doubly disruptive. By leveraging crowdfunding, cryptoasset offerings are creating room for the average investor to stand alongside venture capitalists, and the crowdfunding structure is potentially obviating the need for venture capitalists and the capital markets entirely. The second aspect is what makes the